7 Powers

Hamilton Helmer's durable advantages

PROFESSIONAL DEFINITION

7 Powers identifies the seven sources of durable competitive advantage — scale economies, network economies, counter-positioning, switching costs, branding, cornered resource and process power — that allow a firm to earn persistent returns.

WHO DEVELOPED IT

Developed by strategist and investor Hamilton Helmer in 7 Powers (2016), distilling decades of strategy practice.

WHY IT WAS DEVELOPED

It was developed to define precisely what 'power' means — the potential to earn persistent differential returns — and how it is created.

FIGURE 1 · 7 POWERS

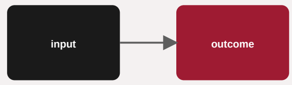

Figure 1. A schematic of the 7 Powers as applied in BARBM312 (illustrative).

HOW IT IS USED

A business is tested for which of the seven powers it holds or could build; AI advantages are mapped to specific powers rather than vague differentiation.

WHEN IT IS USED

During strategy formulation and assessment of AI-business defensibility.

BY WHOM IT IS USED

Founders, strategists and investors.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It provides a rigorous, exhaustive taxonomy of durable advantage, sharpening loose talk of 'moats' into specific, buildable powers.

RELATED FRAMEWORKS IN THIS COURSE

- **Wrapper vs. Moat Ladder** · Slibrary 14
- **Defensibility Matrix** · Slibrary 14
- **Proprietary Data Flywheel** · Slibrary 14
- **Value Capture Map** · Slibrary 14

SOURCES (HARVARD REFERENCING STYLE)

Helmer, H. (2016) 7 Powers: The Foundations of Business Strategy. Deep Strategy.

Porter, M.E. (1980) Competitive Strategy. New York: Free Press.